Financial Statement Analysis of Bilibili Inc.

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1 Purpose and Major Components of Bilibili's Financial Statements

The income statement is mostly useful for showing whether platform growth is leading to profits for most businesses. Revenue, gross profit, operating income, and net income are the most important parts. These numbers show how the company went from growing its business to making more money. Bilibili's revenue keeps going up over the sample period, but the bigger change is that gross profit goes up even faster after 2022, while operating loss and net loss go down a lot. This means that the income statement is showing not only that the company is making more money, but also that the growth is getting better.

The balance sheet is mostly helpful for figuring out if the company's recovery is helped by a better financial structure. Total assets, total debt, equity, current assets, and current liabilities are the most important parts of this. The balance sheet is important for Bilibili because it shows if the company still needs a lot of money to grow. The main trend is that total debt goes down a lot after 2022, while equity stays about the same. At the same time, liquidity gets worse before it starts to get better. This means that the balance sheet shows a shift away from spending a lot of cash and toward a capital structure that is more stable.

The cash flow statement is probably the most important part of this report because it shows if improvements in accounting are backed up by real cash flow. The most important parts are free cash flow and operating cash flow. For Bilibili, both measures are very negative in the first few years, get much better in 2023, and then get very positive again in 2024. This is important because it shows that the company is no longer just showing losses on paper; it is actually making money from its operations.

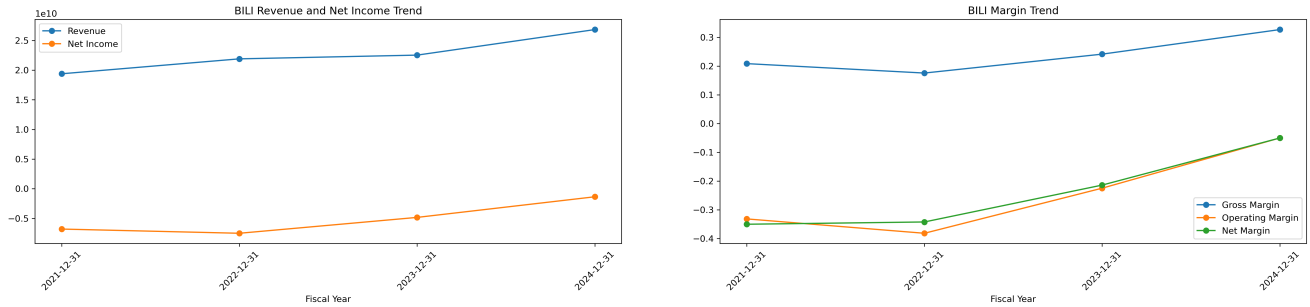
2 Profitability and Financial Health

The operating numbers already demonstrate that Bilibili's finances have altered a lot. In 2021, the company made RMB 19.4 billion. In 2022, it made RMB 21.9 billion. In 2023, it made RMB 22.5 billion. In 2024, it made RMB 26.8 billion. TTM revenue was RMB 29.8 billion. At the same time, gross profit went up from 4.0 billion yuan in 2021 to 8.8 billion yuan in 2024 and 10.8 billion yuan on a TTM basis. The operating loss and net loss both got a lot less, and the TTM numbers in the report table were already positive, with TTM operating income of RMB 747 million and TTM net income of RMB 770 million. This is a big improvement since it shows that the company is no longer just reliant on sales growth; its operational performance is also getting better.

Table 1: Selected Operating and Cash Flow Figures (RMB thousands)

Metric	2021	2022	2023	2024	TTM
Revenue	19,383,684	21,899,167	22,527,987	26,831,525	29,760,560
Gross Profit	4,043,147	3,849,295	5,441,865	8,773,963	10,821,088
Operating Income	-6,429,074	-8,357,944	-5,064,187	-1,343,969	747,009
Net Income	-6,789,228	-7,497,013	-4,822,321	-1,346,800	770,090
Operating Cash Flow	-2,647,008	-3,911,370	266,622	6,014,854	5,041,900
Free Cash Flow	-6,334,217	-6,649,694	-1,063,522	4,259,743	3,612,369
Total Assets	52,053,151	41,830,570	33,159,067	32,698,500	39,933,106
Total Debt	19,222,956	15,543,223	7,644,903	5,050,613	9,692,407
Equity	21,703,667	15,237,828	14,391,900	14,108,397	14,899,296

The first group of charts demonstrates this change in a visual way. The revenue line stays on an increasing slope the whole time, but the net income line clearly gets better after 2022. The business didn't get better by getting smaller; it got better by getting bigger. The margin chart shows why. After 2022, the gross margin keeps going up, and both the operating margin and the net margin quickly move toward break-even and subsequently become positive on a TTM basis. These two charts together show that the company's turnaround is not merely a matter of size. It has an effect on profits.



(a) Revenue and Net Income

(b) Margin Trend

Figure 1: Growth and profitability trends

The ratio table shows that the improvement is not just in one area, but in several. In 2022, revenue grew by 13.0%. In 2023, it dropped to 2.9%, then it sped up again to 19.1% in 2024, with TTM growth at 10.9%. More notably, the gross margin went up from 20.9 in 2021 and 17.6% in 2022 to 24.2% in 2023, 32.7% in 2024, and 36.4% on a TTM basis. The operating margin went up from -38.2% in 2022 to -22.5% in 2023, -5.0% in 2024, and then went up to 2.5% on a TTM basis. Net margin went the same way, going from -34.2% in 2022 to -21.4% in 2023, -5.0% in 2024, and 2.6% on a TTM basis. ROE also became better, going from -40.6% in 2022 to -32.6% in 2023, -9.5% in 2024, and 5.3% on a TTM basis. The most important thing to remember is that all of the main indications of profitability are going in the same direction. That makes the change more believable.

Table 2: Selected Profitability, Liquidity, and Efficiency Ratios

Metric	2021	2022	2023	2024	TTM
Revenue Growth (%)	–	12.98	2.87	19.10	10.92
Gross Margin (%)	20.86	17.58	24.16	32.70	36.36
Operating Margin (%)	-33.17	-38.17	-22.48	-5.01	2.51
Net Margin (%)	-35.03	-34.23	-21.41	-5.02	2.59
ROA (%)	–	-15.97	-12.86	-4.09	2.12
ROE (%)	–	-40.59	-32.55	-9.45	5.31
Current Ratio	3.02	1.43	1.03	1.34	1.64
Debt to Equity	0.89	1.02	0.53	0.36	0.65
Debt to Assets (%)	36.93	37.16	23.06	15.45	24.27
Total Asset Turnover	–	0.47	0.60	0.81	0.82
Equity Multiplier	2.40	2.75	2.30	2.32	2.68

The cash flow table shows why the improvement now seems lot more believable than before, while the margin tale illustrates why profitability is getting better. The operating cash flow margin went from -13.7% in 2021 and -17.9% in 2022 to 1.2% in 2023, 22.4% in 2024, and 16.9% on a TTM basis. The free cash flow margin went from -32.7% in 2021 and -30.4% in 2022 to -4.7% in 2023, then it shot up to 15.9% in 2024 and stayed positive at 12.1% on a TTM basis. This is not a little adjustment. It is a change in the way the business works.

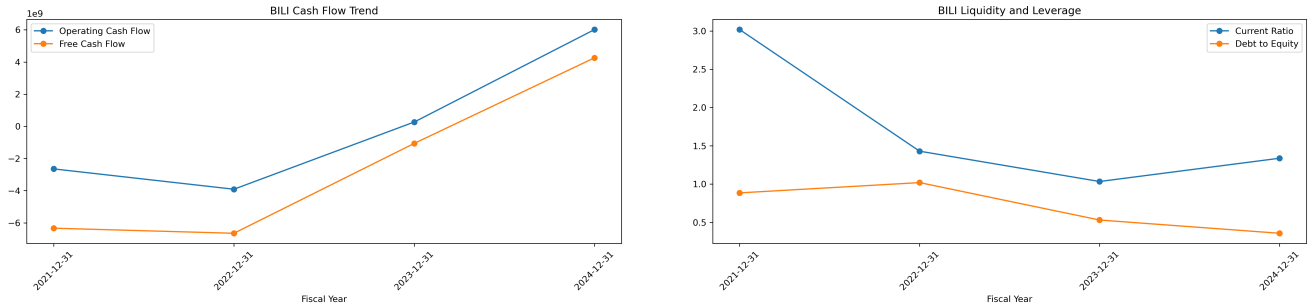
The metrics for cash flow quality back up the same conclusion. In 2024, the ratio of operating cash flow to current liabilities went from negative to 0.41, which shows that short-term cash coverage is considerably better. In 2024, the ratio of operating cash flow to total debt grew to 1.19, which means that operational cash flow was more than total debt that year. On a TTM basis, the ratio of operational cash flow to net income likewise went up a lot,

reaching 6.55. You shouldn't read too much into that last number, but it does illustrate that cash generation is far stronger than accounting earnings alone would suggest. In short, the company's turnaround is now clear in terms of cash flow, not just accounting.

Table 3: Cash Flow Quality and Financial Structure

Metric	2021	2022	2023	2024	TTM
Operating Cash Flow Margin (%)	-13.66	-17.86	1.18	22.42	16.94
Free Cash Flow Margin (%)	-32.68	-30.37	-4.72	15.88	12.14
OCF / Current Liabilities	-0.22	-0.23	0.01	0.41	0.31
OCF / Total Debt	-0.14	-0.25	0.03	1.19	0.52
OCF / Net Income	0.39	0.52	-0.06	-4.47	6.55
Cash / Total Assets (%)	14.45	24.32	21.69	31.35	30.30
Equity / Total Assets (%)	41.70	36.43	43.40	43.14	37.31

The second set of charts shows the same cash flow and balance sheet ratios as the first set. The cash flow chart illustrates the most striking change in the overall report: both operating cash flow and free cash flow stay negative through 2022, then go up sharply in 2023 and become firmly positive in 2024. The liquidity and leverage graphic adds to that story. The current ratio drops a lot through 2023, then goes back up in 2024. The debt-to-equity ratio, on the other hand, drops a lot after 2022. This combination means that Bilibili is no longer losing money and is also less dependent on borrowing money.



(a) Cash Flow Trend

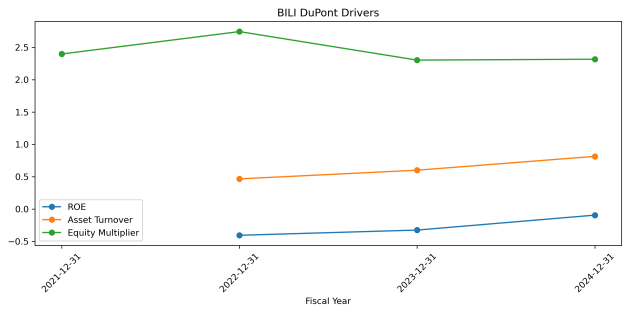
(b) Liquidity and Leverage

Figure 2: Cash generation and financial structure

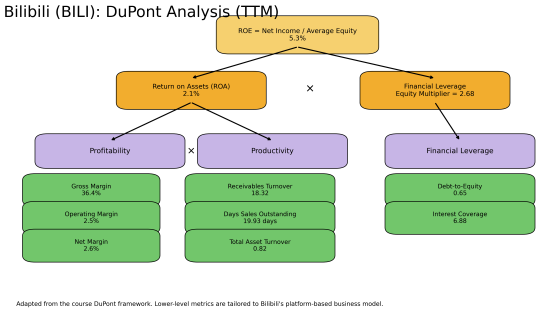
The risk profile also seems better now than it did two years ago when you look at the balance sheet. The current ratio dropped from 3.02 in 2021 to 1.03 in 2023, but it went back up to 1.34 in 2024 and 1.64 on a TTM basis. From 1.02 in 2022 to 0.53 in 2023 and 0.36 in 2024, the debt-to-equity ratio went down. Debt-to-assets also went down, from 37.2% in 2022 to 15.4% in 2024. In the same time period, the total asset turnover went up from 0.47 in 2022 to 0.60 in 2023, 0.81 in 2024, and 0.82 on a TTM basis. That mix is crucial because it shows that the business is getting better at making money and being more efficient without taking on more debt.

This is precisely why the DuPont interpretation is significant in this context. ROE didn't go up because the company suddenly had more debt. It got better because margins went back up, asset turnover went up, and the business grew more efficient. The recovery is not about money; it's about how things work.

The last two numbers bring that argument together. The DuPont drivers figure illustrates that ROE and asset turnover are both going up, while the equity multiplier stays about the same. The TTM DuPont figure makes the breakdown clear: profitability is up, productivity is more than it was previously, and leverage is there but not too much. The meaning is clear: the return on shareholders' investments is going up because the company's operations are getting better, not because the financial risk is going up.



(a) DuPont Drivers



(b) TTM DuPont Analysis

Figure 3: Interpretation of the recent recovery

All of the tables and charts show the same thing when looked at collectively. Sales continued to rise, but the most important improvement is that profitability, cash flow, and the soundness of the balance sheet all got better at the same time. That's why the current recovery seems more real than those in the past. The firm is still changing, but the changes are now clear in the financial statements instead of just being told.

3 Annual Report and MD&A

The most recent annual report from Bilibili is the 2024 Form 20-F. The MD&A is helpful because it links the business processes that led to the financial results. The MD&A helps explain why things changed, while the financial statements and ratios illustrate what changed. That context is important for a platform business. The tables and charts above provide the most compelling evidence, however the MD&A should be seen as an interpretation rather than definitive proof.

4 Critique of Disclosure

Bilibili's financial information is usually clear and extensive enough for serious study. The statements make it easy for a reader to keep track of things like revenue, gross profit, operational loss, net loss, operating cash flow, free cash flow, leverage, liquidity, and DuPont drivers. The company's disclosure is strongest in that area.

The restriction is that non-financial disclosure is more qualitative and harder to check directly. It helps you comprehend the business model, but the best proof still comes from the financial statements and the ratios that emerge from them. In that sense, the disclosure is useful, but not completely unbiased.

5 Conclusion

Bilibili is not yet a fully grown and lucrative business, but its finances have become a lot better. Revenue kept going up, the gross margin went up from 17.6% in 2022 to 36.4% on a TTM basis, the free cash flow margin went up from -30.4% to +12.1%, and the leverage went down a lot. These are not little changes. They show that the business is moving away from a growth model that costs a lot of money and toward one that lasts longer.

The most essential thing to note is that the recent rebound seems to be happening because of operations, not leverage. That is what gives the current trend more weight. The last question is not whether things are getting better, but if Bilibili can stay on this route and turn a transient recovery into a steady long-term profits model.

Disclosure of Gen AI Use

Generative AI was used to help with coding and to give ideas for how to format reports. The author did all of the analysis, interpretation, and findings on their own.